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Amazon's Cloud Keeps Making It Rain

A strong performance by Amazon Web Services swelled Amazon.com's bottom line and helped maintain its pricey valuation

By Dan Gallagher

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Amazon Web Services recorded a 64% jump in first-quarter revenue. KRISTOFFER TRIPPLAAR/SIPA USA

Amazon.com's **AMZN 3.72% ▲** cloud continues to swell. That is helpful to investors who have based a rather large bet on that continuing for the long haul.

First-quarter revenue for the company's Amazon Web Services segment jumped 64% year over year to about \$2.6 billion. The cloud still represents just 9% of Amazon's total revenue base, but it accounted for 56% of the company's operating profits for the period.

Amazon's overall revenue climbed 28% to \$29 billion in the quarter, and net income

totaled \$513 million versus a loss of \$57 million in the same period a year earlier. Those results beat Wall Street's projections and fueled an after-hours surge in Amazon's stock.

Sustainability is a fair question. Amazon's history over the past two decades has many instances of "investment mode" that pinch the bottom line. That happened with AWS two years ago, when a series of sharp price reductions and capital spending cut the unit's operating margin to 8% from 23% within a single quarter.

But AWS now has a strong lead over cloud competitors. It has avoided major price cuts over the past year and still carries some of the lowest prices in the cloud segment, according to an analysis by Jonathan Atkin of RBC Capital. That may lessen the need for major actions anytime soon.

AWS is key to the investment case for Amazon right now. The company's market value has doubled since it began disclosing results for its cloud business a year ago, and the stock trades around 100 times forward earnings. Wall Street expects Amazon's profits to keep growing at a rapid clip for the foreseeable future. That means it can't afford to let its cloud burst.

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